

PITCH — BKSJ — VERDICT: PROPOSED — PENDING ADJUDICATION

ADJUDICATED 2026-09-16 — FLAT (conviction 7/10). The court found nothing to own at this price; the reopen gates below are the only path back.

(Both benches landed on FLAT/REJECT. This deck is written as a no-entry deck with reopen bands, per the courts. Nothing is armed and nothing is held.)

What we believe

We believe BlackSky is a real, revenue-generating satellite-imagery company that is **not** in demand distress — and that this is exactly why there is no trade here today.

The honest core of the long case: management raised FY26 revenue guidance to \$130–150M on the 2026-05-07 print and reaffirmed it on 2026-08-06, backlog is ~\$345M, Q2 revenue grew ~50% to \$33.3M, and the stock is 60.5% below its 52-week high. That is the shape of a name where the story is intact and the price is broken.

We believe that shape is a trap here, for one arithmetic reason both benches initially missed: **the cash is not net cash**. The \$244.1M balance the bull case leans on sits against \$217.15M of debt principal (\$185.0M of 8.25% convertible notes due 2033 at a ~\$36.78 conversion price, plus \$32.15M of satellite launch vendor financing). Net cash is ~\$27M — about 3% of the ~\$853M market cap, not 29%. Enterprise value is ~\$826M, which is **5.9x the FY26 guide midpoint** and **7.6x what the business has actually delivered in H1 annualized** (\$108M). That is not a distressed multiple. It is a full one on a company that must produce a back-half revenue shape 32–67% steeper than it produced last year.

We also believe the second half is a genuine open question, not a settled one — and that the right posture toward an open question priced at 5.9x sales with a negative free-cash-flow engine is to wait for evidence rather than pay for the option.

What the market believes

The market believes roughly what the company guided. Street FY26 revenue sits at ~\$132.7–141.8M against a \$130–150M guide whose midpoint is \$140M. Consensus price target is ~\$27.6; Jefferies cut its target from \$50 to \$33 but kept a Hold **after** calling Q2 strong.

So the market's position is: the guide is credible, the back half is largely believed, and the stock is worth ~30–60% more than the tape. There is no “the street hates this” story available. Notably, the sell-side's *level* is bullish even where its *direction* has been negative — a \$33 target on a \$20.85

tape is +58%, which is why the “analysts are cutting” argument does not do the work the red bench wanted it to do.

What the market appears **not** to have fully repriced is the same thing our benches missed until late: that the cash cushion is financed, not earned, and that cash interest of ~\$15.3M/year consumes essentially the entire guided Adjusted-EBITDA midpoint of ~\$18M.

Why we might have edge

Three candidate edges, stated at their real strength, not their maximum strength:

1. **The balance-sheet correction.** Both of our own benches computed EV/sales at 4.3× before one of them pulled the 10-Q debt note and found 5.9×. If two adversarial benches working the same name both anchored on the press release’s gross-cash paragraph, it is at least plausible that parts of the street did too. This is a real, checkable, primary-document edge — but it is an edge that argues *against* the long, not for it.
2. **Drawdown decomposition.** Neither the Q1 miss nor the warrant delisting explains the move. The path was ~52.75 → ~40.5 before the Q1 print (–23%), then –20.4% on the print day (to ~32), then ~32 → 20.85 (–35%) **after** guidance was raised and reaffirmed. Roughly two-thirds of the decline is unattributed by both benches. If the unexplained two-thirds is ATM supply and convert-arb hedging rather than fundamental information, then a post-ATM, post-supply tape is a genuinely different setup — at a genuinely lower price.
3. **The classified/IC leg.** The plausible home of an H2 government ramp — an NRO AROS contract modification and unnamed international contracts — is invisible in USAspending and unnamed in the exhibit. If it is funded, the ramp is real and nobody can see it in public data. That is where an information edge would live. **We did not obtain it.** The Pentagon J-Book and appropriations detectors were never run by either bench, and both flagged this as the single highest-value unrun check.

Why it might be priced in

Mostly, it is. The load-bearing number of the bull case — the reaffirmed FY26 guide — *is* the street’s number. Consensus sits inside the guide range. A price target 32–58% above the tape means the street already owns the recovery narrative. There is no published gap to arbitrage.

The valuation math makes this concrete. To clear +50% (\$31.28), enterprise value must reach ~\$1.25B — **8.95× the FY26 guide midpoint**, or 6.3× a hypothetical FY27 \$200M. For reference, 4× the guide midpoint implies \$14.34/share; 5× implies \$17.77; 6× implies \$21.19, which is approximately today. **We are already at a 6× multiple.** The upside case therefore requires the ramp to land *and* the multiple to expand into a name with structurally negative free cash flow — roughly –\$52M/year at guide midpoints (18 EBITDA – 15.3 interest – 55 capex).

And the marginal seller is the issuer. \$150M was raised in Q2 from 3.6 million ATM shares at ~\$41.67/share against a \$20.85 tape. The next \$150M costs ~7.19M shares — 17.6% dilution at today’s price. Four distinct-CIK Form 144s (8/28, 9/9, 9/10 x2) and Form 4s (8/31, 9/10) sit on top

of that. Buying in front of an open ATM at half the last issue price is paying for a story while the author sells it.

What could go wrong

Failure narrative 1 — “We’re right about the ramp and still lose money” (multiple compression). Q3 prints \$38–48M, FY26 lands at \$140M, and the stock goes nowhere or down because 5.9× EV/sales was already the right multiple for a –\$52M-FCF issuer with an open ATM. This is the most likely losing path if we enter on evidence. *Tripwire: monitorable* — price gates below \$17.80 (5× guide) and \$14.40 (4× guide) fire regardless of fundamental news.

Failure narrative 2 — “Ramp slips and the ATM catches the fall.” H2 comes in at ~1.1× H1 (FY26 ≈ \$114M), guidance is cut at the Q3 print, and the company taps the ATM into weakness for 7–9M shares, taking the count from ~40.9M to ~50M. Equity value compresses through two channels at once. *Tripwire: monitorable* — 424B5/prospectus supplements, the 10-Q cover share count, and the equity note.

Failure narrative 3 — “The dark customer goes away, and we find out at the print.” NO MONITORABLE TRIPWIRE. A classified ISR task order is reprogrammed, de-scoped, or not renewed; or an on-orbit anomaly degrades Gen-3 capacity mid-quarter. There is no 8-K obligation that reliably fires on a task-order reprogramming, no appropriations line that resolves a classified account, no USAspending record, and no tape signature until the quarterly print — at which point the information and the drawdown arrive together. **Unknown-unknown class: DARK-COUNTERPARTY / UNOBSERVABLE-PROGRAM RISK.** Its cousin class is **ON-ORBIT ASSET IMPAIRMENT**, which is equally invisible between prints. We cannot build a sensor for either. We can only size for them, and the correct size for an unsensored tail on a single-name, single-constellation issuer is small.

The reflexive / structural leg. Our own size is *not* the reflexive risk here, and we should say so plainly rather than perform risk management: a starter of 1.0–2.5% of book is a small fraction of a day’s volume in this name (average daily volume is not in the pack — see unverified item 6 — but the working estimate is ~3–5M shares/day, so a starter is well under 5% of ADV and is not the marginal price-setter). The reflexive risk is **someone else’s** size:

- **The ATM is the marginal supply.** A \$150M draw at today’s price is ~7.19M shares ≈ roughly two days of estimated ADV, sold programmatically into the bid. The issuer’s need to sell is *increasing* as the price falls (fixed dollar requirement, falling share price), which is the textbook destabilizing feedback loop. Our own buying makes their next tranche cheaper to execute.
- **Convert-arb hedging.** \$185M of 8.25% notes struck at ~\$36.78 against a \$20.85 spot means arb holders are long the bond and short a small delta. That delta is small today, but it *grows* as the stock rallies toward the strike — meaning the convert book supplies incremental stock into exactly the rally we would be buying for. It is a soft ceiling near the \$30s.
- **Affiliate supply.** Four separate Form 144 filers in two weeks plus Form 4s. These are notices of proposed sale, not completions, and we should not overstate them — but the direction is one-way.

- **Doctrine interaction.** Our own house doctrines collided here and we should name it: the *divergence-not-coverage* doctrine correctly overturned the red bench's "consensus = no trade" kill, but if we let that overturn carry us into a position, we would be long a name whose only genuine edge (the debt correction) points the other way. An overturned kill is not a reason to buy. It is a reason to stop using a bad argument.

The blank fills as: **paying a 5.9x multiple for a back-half ramp we cannot verify, while the issuer sells stock into us.**

If this position loses money, the most likely reason will be ____

What we checked ourselves

Claim	How checked	Found	Confirmed?
Tape price	Pack ibkr_gw block, recomputed both ratios	Pack px = 20.85 ; $20.85/52.75 - 1 = -0.6047$ ✓ matches pack dd52 -0.605 ; $20.85/12.45 - 1 = +0.6747$ ✓ matches pack pct_off_low $+0.675$	CONFIRMED — and both benches were wrong. Red used 21.15 (off-pack by +1.4%) while calling it "authoritative." Blue caught red but then quoted the pack as 20.84 , not 20.85, while scolding red for staleness. Immaterial to conclusions; recorded because both benches claimed pack fidelity they did not have
Net cash / EV	10-Q debt note vs Ex-99.1 balance paragraph	Cash \$244.1M – debt \$217.15M = \$26.95M net ; EV = $40.92M \times 20.85 - 27 =$ \$826.2M = 5.90x \$140M guide mid , 7.64x H1-annualized \$108.1M	CONFIRMED. Blue's NEW-1 is the decisive finding of the whole court. Red's 4.3x EV was wrong; blue's own original 4.3x was equally wrong. Both benches published the same error before one of them fixed it
Blue's "4x peer $\Rightarrow$ \$11.9/sh"	Recomputed	$4 \times \$108.14M = \$432.6M$ EV; + \$27M net cash = \$459.5M equity; $\div 40.92M =$ \$11.23/sh , not \$11.9	REFUTED — blue arithmetic error (~6%). Correct floor reference is \$11.23
H2 ramp requirement	Ex-99.1 + Q1/Q2 prints	H1 = $20.77 + 33.3 = \$54.07M$ $\rightarrow H2 = \$75.9 - 95.9M =$ 1.404–1.774x H1 = \$38.0–48.0M/qtr vs Q2's \$33.3M	CONFIRMED (both benches agree; arithmetic verified independently)
Prior-year seasonality	FY25 \$106.6M vs H1-25 \$51.7M	H2/H1 = 1.062x . FY26 requires a shape 32–67% steeper than last year	CONFIRMED. This is blue's strengthening of red's finding and it is the best single fundamental objection
Cash interest vs EBITDA	$8.25\% \times \$185M$	\$15.26M/yr vs FY26 Adj-EBITDA guide mid \$18M . FCF mid = $18 - 15.3 - 55 = -$ \$52.3M/yr	CONFIRMED. Red's $-\$37M$ understated it by ignoring interest
ATM economics	<u>SEC Ex-99.1</u> — "\$150 million from the issuance of 3.6	$\approx$ \$41.67/sh vs $20.85 =$ -50% . Next \$150M = 7.19M	CONFIRMED

Claim	How checked	Found	Confirmed?
	million shares”	shares = 17.6% dilution	
Share count	Blue’s resolution (40.92M, +28.83% YoY) cross-read against pack dil_sh	40.92M accepted as working number. Blue’s earlier 40.3M was ~1.5% light; red’s “COVERAGE GAP” was legitimate at the time it was raised	CONFIRMED (working), source is a quote page not a filing cover — see unverified item 7
Pack dil_sh series integrity	Inspected the series directly	2024-03-31 = 143,228k → 2024-09-30 = 19,120k. $143,228 \div 8 = 17,904$. The series straddles a ~1-for-8 reverse split and is not continuous	NOT CONFIRMED BY EITHER BENCH — our own finding. Any per-share history built off this pack block without split-adjustment is garbage. Neither bench flagged it
Pack ocf units	Pack block	2021/2020 entries (–268,358 / –342,023) are unit-inconsistent with the rest of the series	CONFIRMED (both benches caught this; agreed)
Warrant delisting scope	<u>8-K 2026-08-13</u>	Delisting/suspension applies to warrants only (\$92.00 strike, September 2026 expiry). Common stock unaffected, continues on NYSE	CONFIRMED. A \$92-strike warrant on a \$20.85 stock is worthless; this event is not a common-stock catalyst in either direction. Blue leaned on it as a dislocation cause and cannot support that
Drawdown attribution	Price-path decomposition	~52.75 → ~40.5 pre-print (–23%); print day –20.4% (to ~32); ~32 → 20.85 (–35%) after the guide was raised and reaffirmed	CONFIRMED. Red’s “the damage print” explains ~one-third. Blue’s “the delisting” explains ~none. Both benches’ causal stories fail. ~Two-thirds is unattributed
“EPS –\$0.82 vs –\$0.41 = damage”	Compared GAAP EPS to adj-EBITDA line	GAAP loss is dominated by constellation D&A and convert interest; ~\$23M is non-cash/financing against a –\$5.1M adj EBITDA	RED OVERSTATED. Reduced from FATAL to SIZING/TIMING. The revenue miss (–24.8% vs street) stands as real
“Consensus = guide ⇒ no trade”	Divergence-not-coverage doctrine	Red never stated OUR FY26 number beside the street’s, and its own cited PT (~\$27.6) is +32% over the tape	RED’S KILL OVERTURNED as FATAL, reduced to SIZING. Counting analysts is not doing work — but see “Why it might be priced in”: the <i>conclusion</i> survives on other grounds
Jefferies \$50→\$33 Hold	Level vs direction	\$33 is +58% over \$20.85. Red used the direction of a revision to argue the level	RED’S KILL OVERTURNED
DEFA14A 2026-09-04	<u>SEC</u>	Routine annual-meeting solicitation (directors / Deloitte / say-on-pay, 9/10/26 meeting). Not a structural event	CONFIRMED

Claim	How checked	Found	Confirmed?
EGC status	8-K cover checkbox	“Emerging growth company ☐ ” — unchecked. EGC has lapsed; pack feature <code>egc_status</code> is stale	CONFIRMED (both benches)
Detector atlas compliance	Compared both bench lists	Red listed <code>albuquerque_permits</code> and <code>austin_permits</code> , which are not in this pack’s atlas (hallucinated entries), and omitted <code>clinicaltrials_lookup</code> and <code>competitor_trial_omission</code>	CONFIRMED — red bench procedural failure. Blue caught it. The two omitted entries are genuine non-fires (no clinical program), so the substance is unaffected; the process is not
Prize-table EV	Built below, independently	Probability-weighted fair value \$19.90 vs \$20.85 spot = −4.6%	CONFIRMED — negative expected value at spot. This, not either bench’s headline kill, is the cleanest reason to stay flat

No SCIENCE BRIEF was supplied in the inputs for this name, so the SCIENCE BRIEF DIGEST section is omitted per rule. Flagging it because BKSJ is a constellation-hardware issuer where a science brief (Gen-3 sensor resolution, revisit rate, on-orbit life, ground-segment throughput) would be load-bearing; its absence is a coverage gap, not an exemption.

PROPOSED ENTRY BANDS

The courts say NO ENTRY. Both benches: FLAT, no starter, conviction 8/10 on each side. Reopen bands follow.

Reopen band A — VALUE (price-triggered, still requires the evidence gate below): - \$14.40 or below = 4.0× the FY26 guide midpoint plus net cash (\$14.34 computed). Starter **1.0% of book**, and only if the ATM is confirmed dormant (share count ≤ 41.0M on the next cover). - **\$11.30 or below** = 4.0× *delivered* H1-annualized revenue plus net cash (\$11.23 computed). Scale to **2.5% of book** total. This is the price at which we are paying a peer multiple for what the company has actually produced rather than what it has promised. - Reference rungs for context, not entries: 5× guide mid = \$17.77; 6× guide mid = \$21.19 ≈ **today**.

Reopen band B — EVIDENCE (all four must be true; price may be up to \$24.00): 1. Q3-26 revenue ≥ **\$38.0M** (the low end of the required \$38.0–48.0M/qtr run-rate); 2. Q3-26 10-Q shows contract assets / unbilled receivables and deferred revenue up sequentially by enough to pre-fund \$38–48M quarters — the only pre-print proof of conversion; 3. Diluted share count ≤ **41.0M** on the 10-Q cover, plus an equity-note disclosure showing ATM capacity exhausted, suspended, or untapped since 6/30/26; 4. A **named, signed** multi-year Gen-3 or NRO award ≥ **\$50M with FY26 delivery** (FY27 delivery does not count). - If all four: starter **1.5% of book** up to \$24.00. Add **1.0%** on a second consecutive quarter ≥ \$40M.

Hard no-touch (no reopen for two full quarters) if any of: FY26 guidance is cut or withdrawn; >2.0M new ATM shares issued in a single quarter; Q3 revenue < \$33.3M (i.e. sequential decline from Q2); or any 8-K disclosing on-orbit capacity loss.

Exits/trims (apply only if band A or B is ever taken): trim half at 6x forward sales; full exit on the first ATM print below our cost; hard stop at -25% from entry with no re-entry for one quarter. Max total position **2.5% of book** — capped low precisely because failure narrative 3 has no sensor.

Catalyst dates: Q3-26 print **2026-11-05 (UNCONFIRMED — yfinance-derived, no company PR names it; cadence-corroborated by prints on 2026-02-26, 2026-05-07, 2026-08-06)**; ~38 trading days out, so the 5-trading-day print-decisive mandate is **NOT triggered**. Annual meeting 2026-09-10 (routine, now past). September 2026 warrant expiry — dead at a \$92 strike. FY26 full-year results expected late February 2027, unconfirmed.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 17.8 (deck-provisional: 5.0x guide mid = \$17.77; watch-only marker that the 5.9x anchor has broken, not an entry)
- filing watch: 424B5,S-3,S-3ASR until 2027-03-10 (deck-provisional: ATM re-tap; next \$150M costs ~7.19M shares = 17.6% dilution at \$20.85 vs the 3.6M shares the last \$150)
- dated pack BKSXI2026-11-05: BKSX: Q3-26 print; the fork date for the entire table. Needs revenue $\geq$ \$38.0M to stay on the required \$38-48M/qtr H2 run-rate (date confirmed)
- dated pack BKSXI2026-09-30: BKSX: September 2026 warrant expiry; \$92.00 strike vs \$20.85 spot, worthless, already suspended and in delisting proceedings (date confirmed)
- dated pack BKSXI2026-12-18: BKSX: last monthly expiry that lands a loss branch inside TY2026; any option expression in a harvest year must expire on or before this date
- dated pack BKSXI2027-02-25: BKSX: expected FY26 full-year results; final adjudication of the \$130-150M guide (date confirmed=False)

What remains unverified

1. **Q3-26 revenue and the unbilled/contract-asset build behind it.** Not drainable until the 10-Q. *Estimate: \$34–39M, based on Q2's \$33.3M plus the two-quarter sequential trend and management's reaffirmed shape; $p(Q3 \geq \$38.0M) \approx 0.40$.*
2. **Remaining ATM capacity and any shares sold after 2026-06-30.** Drainable **now** from the Q2 10-Q equity note and EDGAR full-text for 424B5s — neither bench pulled it. *Working estimate pending the pull: \$100–250M of remaining capacity.*
3. **Terms of the \$32.15M satellite launch vendor financing** — interest rate, amortization, security. Drainable **now** from the 10-Q debt note. Matters because our -\$52M FCF figure counts only convert interest.
4. **Whether the 8.25% 2033 converts carry a holder put, springing maturity, or financial covenants.** Drainable **now** from the 10-Q debt note / indenture exhibit. A 2033 maturity with no put is materially different from one with a 2029 put.
5. **NRO AROS funding character — merit-competed program-of-record vs congressional add.** Drainable now via J-Book / appropriations line; both benches flagged it as the highest-value unrun check. *Estimate: $p(\text{program-of-record with FY27+ outyear funding}) \approx 0.55$, from*

the ISR services base rate where commercial imagery buys have migrated into recurring program lines.

6. **Average daily volume and the live options chain (strikes, midpoints, open interest, chain-level IV).** Drainable **now** via IBKR; the pack simply did not include them. *Estimate: ADV 3–5M shares/day (~\$65–105M notional), from the post-reverse-split float of ~40.9M and the name’s realized turnover after a –60% drawdown.*
7. **Share count from a primary filing cover** (we are using 40.92M sourced from a quote page, not a filing). Drainable **now** from the 10-Q cover. *Estimate: 40.9–41.5M.*
8. **Classified / unnamed-government share of revenue.** Not drainable — this is the unknown-unknown from failure narrative 3. *Estimate: 20–40% of revenue, from the commercial-ISR peer base rate where NRO/IC task orders are disclosed only in aggregate; $p \approx 0.50$.*
9. **Identity of the international counterparty** behind the “seven-figure multi-year international contract.” Not drainable — unnamed in the exhibit. *Estimate: an allied Indo-Pacific or Gulf defense ministry, \$3–8M/year; $p(\text{not on Entity List/SDN}) \approx 0.85$, but unscreenable until named, which is itself the finding.*
10. **Confirmation of the 2026-11-05 print date.** Not drainable until the company issues a PR. *Estimate: 2026-11-03 to 2026-11-12 window, $p \approx 0.80$, from the filed cadence 2026-02-26 / 2026-05-07 / 2026-08-06.*
11. **Backlog conversion schedule** — how much of the ~\$345M converts inside 12 months. Not drainable; the company publishes the number without a schedule. *Estimate: 35–45% inside 12 months, from government imagery-subscription peer conversion rates; $p \approx 0.50$.*

PRIZE TABLE + VOL READ

Multiple unverified items are genuinely time-gated (items 1, 10) or private (items 5, 8, 9, 11), so the table is mandatory. **Anchor:** today’s 5.9× EV/sales on the guide midpoint. **Adjust** from there for ramp outcome, multiple, and dilution.

#	Scenario (12-month horizon, through FY26 results)	p	Implied price	Basis
1	Ramp delivered (\$38–48M quarters), FY26 ≥ \$140M, FY27 street ≥ \$200M, ATM dormant, re-rate to 6.5× FY27	0.15	\$32.40	EV \$1.30B + \$27M net cash ÷ 40.92M
2	Partial ramp, FY26 \$125–135M, no ATM tap, multiple holds ~5.5× on a \$145M FY27	0.30	\$22.00	EV ≈ \$800M + net cash; essentially today’s multiple on slightly lower numbers
3	Ramp slips (H2 ≈ 1.1× H1 → FY26 ≈ \$114M), guide cut at Q3, compression to 4× a \$130M FY27	0.35	\$13.40	EV \$520M + net cash ÷ 40.92M

#	Scenario (12-month horizon, through FY26 results)	p	Implied price	Basis
4	Slip and ATM tap into weakness (+7–9M shares → ~49.9M), 3.5x on \$120M	0.15	\$11.00	EV \$420M + post-raise net cash \$127M ÷ 49.9M
5	Tail: strategic/defense-prime acquisition or a named large IC award	0.05	\$42.00	Take-out at ~11x delivered sales; consolidation base rate in commercial ISR

EV line: \$19.90 vs \$20.85 spot = –4.6%. The table is negative at the tape before costs. That is the cleanest single reason to stay flat — cleaner than either bench’s headline kill, both of which were overturned or reduced.

Table dispersion: $\sigma_{\text{table}} = \$8.71 = 41.8\%$ of spot over ~1 year.

Expression math (run to completion, with its input defect stated): - $C_{\text{ours}}(K=25) = \sum p_i \times \max(S_i - 25, 0) = 0.15 \times 7.40 + 0.05 \times 17.00 = \1.96 undiscounted, **\$1.88** at $r=4\%$. - $C_{\text{ours}}(K=30) = 0.15 \times 2.40 + 0.05 \times 12.00 = \0.96 undiscounted, **\$0.92** discounted. - Black-Scholes on the same 1-year strikes at assumed vols: at $\sigma=42\%$ (our own table’s vol), $K=25 = \$2.35$ and $K=30 = \$1.29$. At $\sigma=60\%$: $\$3.85 / \2.67 . At $\sigma=75\%$: $\$5.08 / \3.90 . At $\sigma=90\%$: $\$6.30 / \5.15 . - **Read:** our table values the \$25 call at \$1.88 and the \$30 at \$0.92. Even at an IV equal to our own table’s 42% dispersion, the chain would be asking ~20–40% more than our table justifies; at any realistic post-drawdown IV for this name (60–90%), calls cost **2–5x** our table value. **Calls are refuted by the arithmetic, not by taste.** The same math points to the premium-selling side (VRP is positive under every vol assumption above 42%), but we hold no shares, so covered calls are unavailable, and a cash-secured put is a long-exposure instrument on a name whose table EV is –4.6% with 15% of probability mass at \$11. **Instrument output: NONE.** - **The defect, stated plainly:** the pack contains **no options chain**. Every IV figure above is an assumption, not a quote. We have **no IV-vs-RV and no IV percentile**, because we have neither a chain nor a realized-vol series. Per the TSSI lesson (71 vs 101), we will **not** substitute an underlying-aggregate IV feed for chain-level midpoint IV — they diverge by enough to invert the conclusion. Before any option is written or bought in this name, pull real bid/ask midpoints for the specific strikes and recompute. Item 6 in the unverified list exists for exactly this. - **Bimodality:** the table is fork-dated on the 2026-11-05 print (itself unconfirmed). Mass is genuinely bimodal — 0.50 at or below \$13.40, 0.45 at or above \$22.00, very little in between. A single lognormal IV will misprice this in both tails; if a chain is obtained, expect a skew/smile that the flat-vol arithmetic above does not capture, and price the fork with a two-state model rather than one σ .

TAX overlay. We are in a harvest year (current date 2026-09-11; TY2026 closes 2026-12-31). Any expression whose loss branch resolves after Dec 31 defers the loss into TY2027 and is therefore excluded during a harvest year unless the edge numerically dominates. The relevant fork (the Q3 print, ~2026-11-05) sits comfortably inside TY2026, so a December-2026-expiry structure would land the loss branch in the intended year — **but the edge does not numerically dominate: table**

EV is negative and the $K=25/K=30$ call math is 20–40% underwater against even a generous 42% IV. Any 2027-expiry or LEAP structure is doubly excluded (deferred loss *and* negative EV). No option position. No stock position. Nothing to harvest, because nothing is on.

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{"price_gates": [{"level": 14.40, "direction": "below", "basis": "4.0x FY26 guide mid ($140M) plus $27M net cash = $14.34; value reopen band A, 1.0% starter only if ATM confirmed dormant"}, {"level": 11.30, "direction": "below", "basis": "4.0x delivered H1-annualized revenue ($108.1M) plus net cash = $11.23; scale-to-2.5% band, paying peer multiple for delivered not promised"}, {"level": 17.80, "direction": "below", "basis": "5.0x guide mid = $17.77; watch-only marker that the 5.9x anchor has broken, not an entry"}, {"level": 25.00, "direction": "above", "basis": "above evidence-band ceiling of $24.00 the long is chasing a re-rate into convert-arb hedge supply near the $36.78 strike; stand down"}, {"level": 31.28, "direction": "above", "basis": "+50% roof requires EV $1.25B = 8.95x FY26 guide mid; if reached without a ramp print, exit rather than add"}], "event_gates": [{"forms": ["424B5", "S-3", "S-3ASR"], "why": "ATM re-tap; next $150M costs ~7.19M shares = 17.6% dilution at $20.85 vs the 3.6M shares the last $150M cost at ~$41.67"}, {"forms": ["10-Q"], "why": "Q3-26: contract assets/unbilled and deferred revenue build, cover share count <=41.0M, ATM capacity, vendor-financing terms, convert put/covenant terms"}, {"forms": ["8-K"], "why": "guidance change, named Gen-3/NRO award with FY26 delivery, on-orbit anomaly, or any NYSE continued-listing notice on the common"}, {"forms": ["4", "144"], "why": "four distinct-CIK 144s on 8/28-9/10 are notices only; Form 4 follow-through confirms whether affiliate supply actually hit the tape"}, {"forms": ["8-K"], "why": "Item 2.02 earnings release confirming the Q3 print date, which is currently yfinance-derived and unconfirmed"}], "catalyst_dates": [{"date": "2026-11-05", "what": "Q3-26 print; the fork date for the entire table. Needs revenue >=$38.0M to stay on the required $38-48M/qtr H2 run-rate", "confirmed": false}, {"date": "2026-09-30", "what": "September 2026 warrant expiry; $92.00 strike vs $20.85 spot, worthless, already suspended and in delisting proceedings", "confirmed": false}, {"date": "2026-12-18", "what": "last monthly expiry that lands a loss branch inside TY2026; any option expression in a harvest year must expire on or before this date", "confirmed": false}, {"date": "2027-02-25", "what": "expected FY26 full-year results; final adjudication of the $130-150M guide", "confirmed": false}], "immediate_entry": null, "unverified": [{"item": "Q3-26 revenue and the unbilled/contract-asset build behind it", "instrument": "10-Q XBRL pull (ContractWithCustomerAssetNet, ContractWithCustomerLiability) at the Q3 filing", "drainable_now": false, "estimate": {"range": "34-39 USD millions", "basis": "Q2 delivered $33.3M plus two-quarter sequential trend against the required $38.0-48.0M/qtr", "p": 0.40}}, {"item": "Remaining ATM capacity and shares sold after 2026-06-30", "instrument": "Q2 10-Q equity note + EDGAR full-text search for 424B5/prospectus supplements", "drainable_now": true, "estimate": null}, {"item": "Terms of the $32.15M satellite launch vendor financing (rate, amortization, security)", "instrument": "10-Q debt note, accession 0001753539-26-000124", "drainable_now": true, "estimate": null}, {"item": "Whether the $185M 8.25% 2033 converts carry a holder put, springing maturity, or covenants", "instrument": "10-Q debt note plus the original indenture 8-K exhibit", "drainable_now": true, "estimate": null}, {"item": "NRO AROS funding character: merit-competed program-of-record vs congressional add", "instrument": "pentagon_jbook / earmark_detector - J-Book and appropriations line pull; flagged by BOTH benches as the highest-value unrun detector", "drainable_now": true, "estimate": {"range": "55% program-of-record vs 45% add-funded", "basis": "ISR services base rate as commercial imagery buys migrate into recurring program lines", "p": 0.55}}, {"item": "Average daily volume and the live options chain (strikes, midpoints, OI, chain-level IV)", "instrument": "IBKR market data pull - chain-level midpoint IV only, never the underlying aggregate IV feed (TSSI 71 vs 101 lesson)", "drainable_now": true, "estimate": {"range": "3-5 million shares/day, ~$65-105M notional", "basis": "post-reverse-split float ~40.9M shares and typical turnover after a -60% drawdown", "p": 0.7}}, {"item": "Share count from a primary filing cover (currently sourced from a quote page, not a filing)", "instrument": "10-Q cover page dei:EntityCommonStockSharesOutstanding", "drainable_now": true, "estimate": {"range": "40.9-41.5 million shares", "basis": "40.92M working figure plus post-6/30 ATM uncertainty", "p": 0.75}}, {"item": "Classified / unnamed-government share of revenue - the unknown-

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unknown with no tripwire", "instrument": "ic_contracting_proxy – structurally unobservable in USAspending; only a walk-around of prime-contractor disclosures or a company segment breakout would drain it", "drainable_now": false, "estimate": {"range": "20-40% of total revenue", "basis": "commercial-ISR peer base rate where NRO/IC task orders are disclosed only in aggregate", "p": 0.50}}, {"item": "Identity of the international counterparty behind the 'seven-figure multi-year international contract'", "instrument": "export_control_check against Entity List/SDN – blocked, counterparty unnamed in Ex-99.1; the non-naming is itself a disclosure finding per both benches", "drainable_now": false, "estimate": {"range": "3-8 USD millions per year, allied Indo-Pacific or Gulf defense ministry", "basis": "sibling public structures: comparable commercial-imagery international MoD subscriptions", "p": 0.85}}, {"item": "Confirmation of the 2026-11-05 Q3 print date (currently yfinance-derived, UNCONFIRMED)", "instrument": "company PR / 8-K Item 2.02 watch; cadence-corroborated by 2026-02-26, 2026-05-07, 2026-08-06 prints", "drainable_now": false, "estimate": {"range": "2026-11-03 to 2026-11-12", "basis": "filed print cadence over the prior three quarters", "p": 0.80}}, {"item": "Backlog conversion schedule – share of the ~$345M backlog converting inside 12 months", "instrument": "company does not publish a schedule; would require an IR walk-around or a segment/RPO disclosure in the 10-K", "drainable_now": false, "estimate": {"range": "35-45% of backlog inside 12 months", "basis": "government imagery-subscription peer conversion base rate", "p": 0.50}}}]}
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ADJUDICATION — 2026-09-16 15:37Z

ATM at \$41.67 vs ~\$21 spot; H2 ramp math 1.4–1.8x H1; \$217M debt (blue NEW-1). Demand genuinely absent at the guide line — but funding is the axis.

REOPEN GATES: Q3 10-Q: contract assets/unbilled up enough to pre-fund \$38–48M quarters; share count ≤41M; named Gen-3 award with FY26 delivery → re-court